

Notes: Akey (RFS, 2015)
**Valuing Changes in Political Networks: Evidence from Campaign
Contributions to Close Congressional Elections**

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1 Big picture

- **Question.** Do firms' campaign contributions create valuable political connections, or are they symptoms of agency problems and managerial private benefits?
- **Core setting.** The paper studies U.S. congressional elections from 1998 to 2010 and uses firm political action committee (PAC) contributions to measure connections between public firms and politicians.
- **Main empirical design.** The key design compares firms that donated to candidates who barely won close elections with firms that donated to candidates who barely lost close elections. The close-election setting creates quasi-random variation in whether a potential connection becomes an active connection.
- **Why this is hard.** Political activity is highly endogenous: firms choose whether to donate, whom to support, how much to lobby, and whether to hire politically connected employees. A simple comparison of politically active and inactive firms would not identify the value of political capital.
- **Special elections.** Special elections are the cleanest event setting because they occur off the normal election cycle and are less likely to coincide with broad market-wide political news. In close special elections, firms connected to winners experience abnormal returns about 1.7% to 6.8% higher than firms connected to losers; the median estimate is about 3%.
- **General elections.** General elections are noisier because many races occur on the same day, but they provide a larger sample and allow the paper to study incumbency, party, indirect connections, and congressional committees.
- **Direct connections.** A direct connection is a firm PAC contribution to a candidate's election PAC. In close general elections, the market reacts positively to portfolios of winning connections and negatively to portfolios of losing connections.
- **Indirect connections.** An indirect connection is formed when a firm gives to a senior politician's leadership PAC and that leadership PAC transfers money to a candidate in a close race. Indirect connections are economically important and often larger than direct connections.
- **Policy areas.** Connections to powerful policy committees are especially valuable. The largest values appear around spending, taxes, banking and finance, agriculture, small business, and military policy.
- **Real effects.** The paper links political connections to future sales. Losing a connection to the Senate Appropriations committee is associated with a roughly \$1.9 billion decline in following-year sales.
- **Broader political networks.** Campaign contributions are only one part of firms' political strategies. Firms also spend much more on lobbying and sometimes hire former government staffers; these actions are coordinated with direct and indirect contribution strategies.
- **Economic takeaway.** The evidence favors the political-capital interpretation: campaign contributions help reveal valuable political networks that shareholders price positively when the supported politician wins.

2 Incremental contribution of the paper

- **From correlation to quasi-causal valuation.** Earlier studies found positive or negative associations between political contributions and future returns. This paper uses close-election regression discontinuity logic to isolate exogenous shocks to political connections.
- **Endogenous connections, clean event.** Some prior work studies exogenous ties such as geography, education, or board connections. This paper studies connections that firms actively choose to build through campaign contributions, but values them using quasi-random close-election outcomes.
- **Special election contribution.** Special elections provide a particularly clean event window: the elections occur off-cycle and on different dates, reducing contamination from broad political news.
- **Direct versus indirect networks.** The paper distinguishes between direct donations to candidates and indirect access through leadership PACs. This expands the concept of political connectedness from one-to-one firm-politician links to broader political networks.
- **Internal party resource channel.** The paper shows that leadership PAC transfers are strongly correlated with party advertising expenditures. This supports the idea that senior politicians can influence colleagues through an internal market for political resources.
- **Policy-specific valuation.** By studying committee assignments, the paper identifies which areas of government policy are most valuable to firms: appropriations, taxation, finance, banking, agriculture, military, and small-business policy.
- **Real-outcome evidence.** The paper moves beyond stock returns by showing that political connections predict future changes in sales, especially around appropriations-related connections.
- **Political strategy as a bundle.** The final section shows that campaign contributions, lobbying, and hiring former government employees are related but not identical tools. Direct political connections are more valuable for firms hiring former staffers, while indirect connections are more valuable for firms that lobby.
- **Contribution to the investment-versus-agency debate.** The results suggest that, on average in this setting, campaign contributions represent investments in political capital rather than pure agency costs.

3 Data and measurement

3.1 Campaign contribution data

- The paper uses Federal Election Commission transaction-level campaign finance data for federal elections from 1998 to 2010.
- Firms cannot donate directly from corporate treasuries to politicians. They establish PACs that collect contributions and donate to politician-specific PACs.
- The paper focuses on firm PAC contributions rather than executives' personal donations because firm PACs are usually managed by political specialists and more directly reflect firm political strategy.

- A contribution from a firm PAC to a candidate’s election PAC is defined as a *direct connection*.
- Contributions to election PACs are capped, so the observed campaign contribution is likely a proxy for a broader relationship rather than the full cost of political influence.

Interpretation: Campaign contributions are treated as a revealed signal that the firm is attempting to build or maintain a political connection.

3.2 Leadership PACs and indirect connections

- More senior politicians often operate leadership PACs in addition to election PACs.
- Leadership PAC funds are not used mainly for the politician’s own election expenses. They are used to transfer resources to other politicians, consume political perquisites, and build influence inside the party.
- A firm is *indirectly connected* to a candidate in a close race if the firm donates to a leadership PAC and that leadership PAC transfers money to the candidate.
- Indirect connections capture the idea that firms may access junior politicians through senior politicians who control political and party resources.

Interpretation: Indirect connections matter because political influence may flow through internal party networks, not only through direct firm-candidate relationships.

3.3 Election data

- The election sample covers U.S. House and Senate elections from 1998 to 2010.
- A close election is defined as an election won or lost by five percentage points or less.
- The special-election sample contains thirteen close special elections from 1997 to 2010.
- The general-election sample contains many overlapping close elections, so the paper constructs election-day portfolios of each firm’s net connection shocks.
- The paper uses fundraising data and anecdotal evidence to support the claim that very close races were not perfectly predictable ex ante.

Interpretation: The identifying idea is that firms may choose whom to support, but conditional on a very close election, whether the supported politician wins contains a meaningful random component.

3.4 Firm outcomes and abnormal returns

- The main market outcome is cumulative abnormal returns (CARs) around election day.
- Abnormal returns are computed using the Fama–French three-factor model.
- The special-election analysis uses both a $(-1, +5)$ window and a shorter $(-1, +1)$ event window.
- The general-election analysis uses three-day abnormal returns around election day.

- Balance-sheet variables come from Compustat and are used for summary statistics, balance tests, and forward-sales regressions.

Interpretation: Election-day CARs measure the market’s reassessment of firm value when a potential political connection becomes active or inactive.

3.5 Secondary political actions

- The paper collects lobbying data from disclosures filed with the U.S. Senate.
- Lobbying data identify the client, amount spent, and policy area being lobbied.
- The paper also uses data from the Center for Responsive Politics on firms’ employment of former government staffers.
- These staffers often worked as legislative directors, chiefs of staff, or other government specialists before joining firms.
- Lobbying and hiring former staffers are used to examine whether contributions are one piece of a broader political network strategy.

Interpretation: The much larger dollar value of lobbying relative to contributions helps explain why small capped campaign donations can be associated with large firm-value effects.

4 Models and empirical specifications

4.1 Special-election regression discontinuity

For special elections, the paper estimates whether firms connected to winners have higher abnormal returns than firms connected to losers. The basic specification is

$$CAR_{i,j} = \alpha + f(VoteShare_j) + \beta_1 Won_j + Won_j \times g(VoteShare_j) + \varepsilon_{i,j}. \quad (1)$$

- $CAR_{i,j}$ is the election-window abnormal return for firm i connected to candidate j .
- Won_j equals one if the candidate barely wins and zero if the candidate barely loses.
- $VoteShare_j$ is positive for the winner and negative for the loser, measured as the margin relative to the cutoff.
- The functions $f(\cdot)$ and $g(\cdot)$ are linear, quadratic, or spline functions of the vote-share margin.
- The coefficient β_1 measures the discontinuous jump in firm value from being connected to a barely winning politician rather than a barely losing politician.

Interpretation: The discontinuity at zero vote margin is interpreted as the causal value of a political connection becoming active.

4.2 Hedged-firm specification

Some firms donate to both the winning and losing candidates in the same special election. The paper treats these firms as hedged because they are connected to the winner regardless of the election outcome. The specification adds a variable for donating to only one candidate:

$$CAR_{i,j} = \alpha + f(VoteShare_j) + \beta_1 Donated_{i,j} + Donated_{i,j} \times g(VoteShare_j) + \beta_2 Donated_{i,j} \times Won_j + Donated_{i,j} \times Won_j \times h(VoteShare_j) + \varepsilon_{i,j}. \quad (2)$$

- $Donated_{i,j}$ equals one when the firm donated to only one candidate in that special election.
- The interaction $Donated \times Won$ captures the additional value of being connected only to the winner relative to being connected only to the loser.
- Hedged firms should not have a large election-day surprise because they are connected to the winner either way.

Interpretation: The hedger analysis confirms that the market response is tied to the connection shock, not simply to the act of donating.

4.3 General-election political connection portfolios

Because general elections contain many close races on the same day, the paper constructs firm-level portfolios of close-election connections.

$$WonP_{i,t} = \sum_j Donated_{i,j,t} \times ElectionOutcome_{j,t}, \quad (3)$$

where $ElectionOutcome_{j,t}$ equals one for candidates who win close elections. The paper defines analogous variables for losing candidates and constructs net portfolios:

$$TotalP_{i,t} = WonP_{i,t} - LostP_{i,t}. \quad (4)$$

- The portfolio is also decomposed into incumbent-winner, incumbent-loser, challenger-winner, challenger-loser, Democrat-winner, Democrat-loser, Republican-winner, and Republican-loser components.
- Indirect portfolios are built in the same spirit using leadership PAC transfers.
- Regressions include election-cycle and industry fixed effects.

Interpretation: The portfolio approach turns many simultaneous election shocks into a firm-level measure of the net improvement or deterioration in political connections.

4.4 Committee and policy-area regressions

For each congressional committee, the paper constructs net portfolios of connections to winning and losing politicians who sit on that committee. The empirical object is the stock-market value of exposure to particular policy jurisdictions.

- Senate committees include Banking, Agriculture, Finance, Armed Services, Commerce, and Energy.
- House committees include Appropriations, Ways and Means, Financial Services, Small Business, Transportation, Agriculture, and Armed Services.
- The dependent variable is the firm’s three-day election-window abnormal return.
- The most valuable committees identify policy areas where firms expect meaningful benefits from political access.

Interpretation: Committee results connect abstract political capital to concrete policy channels: taxes, spending, regulation, banking, defense, agriculture, infrastructure, and small business.

4.5 Forward-sales regressions

The paper examines whether political connections affect future firm sales using the specification

$$\Delta Sales_{i,t+1} = \alpha + \beta_1 Connection_{i,t} + \beta_2 \Delta Q_{i,t} + \beta_3 \Delta Leverage_{i,t} + \beta_4 \Delta Size_{i,t} + \beta_5 \Delta Profitability_{i,t} + \varepsilon_{i,t+1}. \quad (5)$$

- The dependent variable is the one-year-forward change in total sales, measured in millions of dollars.
- The connection variable is one of the direct, indirect, committee, chamber, party, or incumbency connection measures.
- Regressions include firm and cycle fixed effects.
- Controls include lagged changes in Tobin’s Q, leverage, firm size, and profitability.

Interpretation: The sales analysis asks whether election-day value changes correspond to later cash-flow changes, not just investor sentiment.

4.6 Lobbying and former-government-staffer tests

The paper studies whether contributions are related to other political actions.

- First, it asks whether firms lobby the same policy areas whose committee members receive their campaign contributions.
- Second, it asks whether firms that hire former government staffers are more or less likely to use professional lobbyists.
- Third, it asks whether direct and indirect connection values vary depending on whether the firm lobbies or employs former staffers.

Interpretation: Direct campaign connections appear more valuable for firms hiring former government staffers, while indirect leadership-PAC connections appear more valuable for firms that lobby.

5 Identification and empirical design

5.1 What the design can identify

- The special-election RDD estimates the market value of an active political connection for firms that chose to donate to candidates in close elections.
- The treatment is not the decision to donate. The treatment is whether a chosen supported candidate barely wins rather than barely loses.
- The design therefore identifies the value of a marginal change in political network status, not the average value of all political activity.
- The outcome is firm value as measured by election-window abnormal returns.

Interpretation: The paper should be read as valuing shocks to connections among politically active firms, not as estimating the return to starting political activity from zero.

5.2 Why close elections help

- Firms choose which candidates to support, so raw donations are endogenous.
- However, in a very close race, whether the candidate barely wins or barely loses is plausibly affected by idiosyncratic electoral noise.
- The paper supports this assumption with balance tests showing that firms connected to close winners and close losers are statistically similar on standard firm characteristics.
- Fundraising shares are not systematically predictive within the five-percentage-point close-election window, which supports the close-election design.

Interpretation: The RDD logic does not require firms to donate randomly. It requires that firms cannot precisely manipulate or forecast the exact close-election outcome.

5.3 Special elections versus general elections

- Special elections provide the cleanest stock-return event window because they occur off-cycle and on different dates.
- The drawback is that the special-election sample is small and mostly involves first-time challengers.
- General elections create a larger sample and allow richer cross-sectional analysis.
- The drawback is that many races occur simultaneously, creating noisier event-day interpretation.

Interpretation: The paper's strongest causal evidence comes from special elections, while general elections provide external validity and mechanism evidence.

5.4 Placebo and robustness logic

- The paper conducts a placebo test using nonclose special elections. In these cases, there should be less election-day surprise and no winner-loser wedge.
- The placebo coefficients are statistically insignificant, supporting the interpretation that close-election results capture connection value.
- General-election robustness tests remove in-state connections to check whether home-state favors drive the results.
- Additional specifications include industry-by-year fixed effects to address industry-level political shocks.

Interpretation: The robustness tests support the claim that the effect is firm-specific political connectedness rather than generic industry news, home-state benefits, or special-election day effects.

5.5 Main limitations

- The treatment applies to firms that already donated to candidates, so the estimates may not generalize to firms with no political activity.
- Campaign contributions are capped and observed, but many other forms of political support are unobserved.
- General-election portfolios are noisier because many political events occur on the same day.
- Close elections are plausibly quasi-random but not literally randomized experiments.
- The paper estimates market value and future sales effects, but it does not fully measure welfare, rent-seeking costs, or distributional effects.

Interpretation: The evidence is strong for shareholder value in the sample, but it does not imply that corporate political activity is socially efficient.

6 Tables and figures

6.1 Table 1 and Figure 1: PAC donation patterns

Read:

- Table 1 summarizes donations by CRSP firm PACs to election PACs and leadership PACs from 1997 to 2010.
- Aggregate election-PAC donations rise over time, with average donations to election PACs increasing from about \$30.7 thousand in 1997 to about \$92.1 thousand in 2010.
- Leadership PAC activity also grows, especially in average donation size and dispersion.
- Figure 1 visualizes the time series. Total election-PAC donations trend upward, while leadership-PAC donations are smaller in aggregate but increasingly important.

Economic message: The market for political access is persistent and growing. Firms use both direct candidate donations and leadership PAC donations, which motivates the later distinction between direct and indirect political networks.

Table 1
CRSP firm PAC election and leadership PAC donation summary statistics

Panel A: Aggregate CRSP firm PAC contributions summary statistics

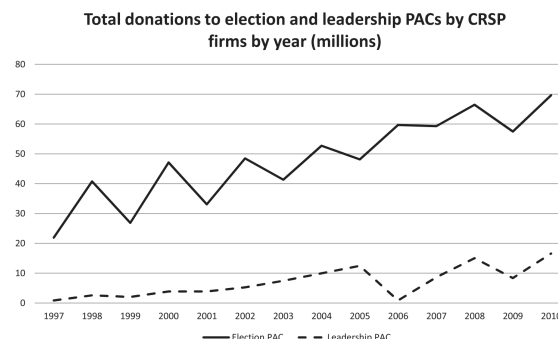
Year	To election PACs			To leadership PACs		
	Mean (thou)	St. Dev. (thou)	Number	Mean (thou)	St. Dev. (thou)	Number
1997	30.74	53.93	713	4.61	5.68	187
1998	52.92	96.75	770	9.15	14.14	283
1999	38.01	82.95	707	7.13	14.17	285
2000	61.98	106.39	760	13.08	23.57	296
2001	48.13	93.30	687	13.01	27.08	299
2002	65.51	127.23	740	14.38	29.54	367
2003	57.57	121.79	718	18.29	33.74	408
2004	66.90	115.01	788	23.14	40.46	430
2005	63.78	112.12	755	27.98	50.38	446
2006	75.16	128.94	794	29.95	49.81	429
2007	80.66	139.98	735	23.01	49.38	376
2008	85.77	153.72	775	38.51	68.85	390
2009	81.55	165.95	705	22.76	58.06	368
2010	92.10	163.23	756	42.87	92.30	387

Panel B: CRSP firm PACs to individual PAC summary statistics

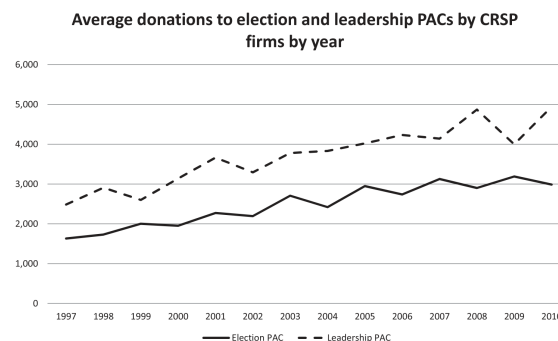
Year	To election PACs			To leadership PACs		
	Mean (thou)	St. Dev. (thou)	Number	Mean (thou)	St. Dev. (thou)	Number
1997	1.63	1.78	13,431	2.49	2.44	347
1998	1.73	1.85	23,528	2.91	2.68	891
1999	2.00	2.28	13,427	2.60	2.65	781
2000	1.95	1.98	24,118	3.14	2.74	1,234
2001	2.27	2.38	14,545	3.66	3.37	1,062
2002	2.19	2.20	22,085	3.29	2.91	1,602
2003	2.71	2.60	15,277	3.78	3.19	1,974
2004	2.42	2.23	21,787	3.83	2.93	2,598
2005	2.95	2.71	16,330	4.02	3.14	3,103
2006	2.74	2.40	21,790	4.23	3.06	3,035
2007	3.13	2.79	18,958	4.14	3.06	2,089
2008	2.90	2.49	22,914	4.87	3.29	3,084
2009	3.19	2.94	18,018	4.00	3.09	2,095
2010	2.99	2.56	23,317	4.94	3.17	3,359

Panel A of this table reports aggregate summary statistics for PAC donations affiliated with firms in CRSP to Senate and House election PACs and all leadership PACs by year. Panel B reports the same statistics for donations to individual Senate and House candidate election PACs and all leadership PACs by year.

(a) Table 1: CRSP firm PAC election and leadership PAC donation summary statistics.



(A) Total donations



(B) Average donations

Figure 1
Firm PAC donations to election and leadership PACs
Panel (A) shows the total donations of PACs associated with firms in CRSP to all leadership PACs and House and Senate election PACs by year. Panel (B) plots the average donation to a leadership PAC or a Senate or House election PAC by year.

(b) Figure 1: Firm PAC donations to election and leadership PACs.

6.2 Figure 2 and Table 2: Close elections and special-election firm balance

Read:

- Figure 2 shows that most U.S. congressional elections are not close; many are won by very large margins or are effectively uncontested.
- The five-percentage-point cutoff lies in the very close part of the distribution.
- Figure 2 also plots the relationship between the winning candidate's fundraising share and margin of victory. The relation is weak inside the very close window, supporting the view that close outcomes were not perfectly predictable.
- Table 2 compares firms donating to close special-election winners and losers. Observable firm characteristics are statistically similar across the two groups.

Economic message: The identifying comparison is credible because close winners and close losers look similar, and donors to close winners do not appear to be systematically different from donors

to close losers.

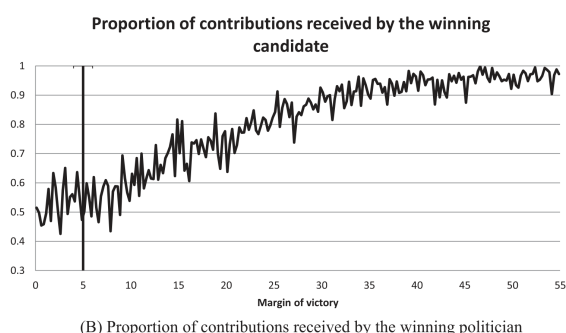
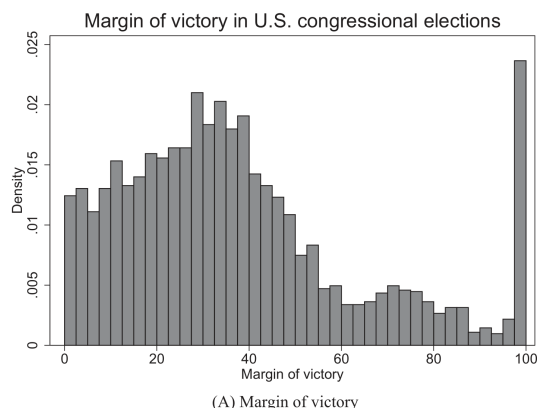


Figure 2
Electoral statistics
Panel (A) presents a histogram of the margin of victory for all U.S. general elections from 1998-2010. Panel (B) plots the average proportion of total contributions made to the winning candidate of an election (y-axis) against the margin of victory by which the candidate won the election (x-axis).

(a) Figure 2: Electoral statistics.

Table 2
Special election firm donor summary statistics
Averages and differences of donating firms around the discontinuity

	All firms			Losing vs. winning firms		
	Mean (1)	Median (2)	St. Dev. (3)	Mean (4)	Difference (5)	p-Value (6)
<i>Tobin's Q</i>	1.776	1.462	1.178	1.816	-0.303	(0.5455)
<i>Market Leverage</i>	0.284	0.248	0.216	0.102	0.213	(0.1038)
<i>Book Leverage</i>	0.279	0.263	0.153	0.197	0.097	(0.3566)
<i>Log Assets</i>	10.170	10.246	1.339	10.119	0.295	(0.8071)
<i>Equity Value (Millions)</i>	52.793	17.707	83.008	83.833	-48.388	(0.6090)
<i>Operating Profit</i>	0.137	0.123	0.067	0.178	-0.065	(0.1182)
<i>Cash Flow / Assets</i>	0.092	0.086	0.061	0.108	-0.024	(0.5146)
<i>Investment / Assets</i>	0.043	0.033	0.030	0.036	-0.003	(0.9198)
<i>Contribution</i>	1902.5	1000.00	1773.76	1534.68	196.34	(0.8910)

Columns (1) through (3) of this table present summary statistics for firms in the years that they gave donations to candidates in the sample of close special elections. Column (4) presents the average value of firms that donated only to the losing candidate. Column (5) presents the average difference of firms that donated only to the winning candidate, conditioning on the margin of victory of the winning candidate using a quadratic spline functional form. Column (6) reports the *p*-value of the difference reported in Column (5) computed using robust standard errors. All variables are defined in the Appendix. Panel B reports the number frequency of firms donating to more than one candidate during the elections in the sample.

(b) Table 2: Special election firm donor summary statistics.

6.3 Table 3 and Table 4: Close special elections and RDD estimates

Read:

- Table 3 lists the thirteen close special elections used in the cleanest empirical setting.
- The elections occur on different dates and include several very tight races, such as the 2009 NY-20 race with a 0.45 percentage-point margin.
- Table 4 is the main special-election regression discontinuity evidence.
- In Panel A, the coefficient on *Won* ranges from about 1.7% to 6.8% depending on functional form and event window.
- Panel B compares firms that donated to only one candidate with firms that hedged by donating to both candidates. The winner-versus-loser wedge remains similar.

Economic message: When a firm-backed politician barely wins, shareholders revise firm value upward relative to firms whose backed politician barely loses. The median effect is roughly 3% of equity value.

Table 3
Close special elections 1997–2010

Candidate	Date	State	District	Party	Victory Margin
Bill Redmond	05/13/1997	NM	3	R	2.96
Eric Serna	05/13/1997	NM	3	D	-2.96
Heather Wilson	06/23/1998	NM	1	R	4.96
Phillip Maloof	06/23/1998	NM	1	D	-4.96
David Vitter	05/29/1999	LA	1	R	1.49
David Treen	05/29/1999	LA	1	R	-1.49
Randy Forbes	06/19/2001	VA	4	R	4.20
Louise Lucas	06/19/2001	VA	4	D	-4.20
Randy Neugebauer	06/03/2003	TX	19	R	1.04
Mike Conaway	06/03/2003	TX	19	R	-1.04
Stephanie Herseth	06/01/2004	SD	0	D	1.15
Larry Diedrich	06/01/2004	SD	0	R	-1.15
Jean Schmidt	08/02/2005	OH	2	R	3.27
Paul Hackett	08/02/2005	OH	2	D	-3.27
Brian Bilbray	06/06/2006	CA	50	R	4.55
Francine Busby	06/06/2006	CA	50	D	-4.55
Paul Brown	07/17/2007	GA	10	R	0.84
Jim Whitehead	07/17/2007	GA	10	R	-0.84
Don Cazayoux	05/03/2008	LA	6	D	2.93
Woody Jenkins	05/03/2008	LA	6	R	-2.93
Bill Owens	11/03/2009	NY	23	D	2.37
Douglas Hoffman	11/03/2009	NY	23	C	-2.37
Scott Murphy	03/31/2009	NY	20	D	0.45
Tim Tedisco	03/31/2009	NY	20	R	-0.45
Scott Brown	01/19/2010	MA	Senate	R	4.76
Martha Coakley	01/19/2010	MA	Senate	D	-4.76

This table presents the candidates, seats, and outcomes of special elections from 1997 to 2010 that were won by a margin of less than five percentage points. Victory margin is the percentage by which the candidate won (lost) the election. D refers to the Democratic Party; R refers to the Republican Party; and C refers to the Conservative Party. All data comes from the Federal Election Commission.

(a) Table 3: Close special elections, 1997–2010.

Table 4
Special election CAR regression discontinuity results

Panel A: Winner vs. loser results						
	(1)	(2)	(3)	(4)	(5)	
Event Window	(-1,+5)	(-1,+5)	(-1,+5)	(-1,+5)	(-1,+1)	
<i>Won</i>	0.0176*	0.0300**	0.0260*	0.0683***	0.0369**	
	(0.0997)	(0.0160)	(0.0658)	(0.0068)	(0.0159)	
<i>Intercept</i>	-0.00603	-0.0203**	-0.0122	-0.0621***	-0.0491***	
	(0.305)	(0.0336)	(0.158)	(0.0046)	(0.0001)	
Observations	234	234	234	234	234	
R-squared	0.018	0.026	0.021	0.036	0.040	
Functional Form	linear	linear spline	quadratic	quad. spline	quad. spline	
Panel B: Winner vs. loser in comparison with hedger results						
	(1)	(2)	(3)	(4)	(5)	(6)
Event Window	(-1,+5)	(-1,+5)	(-1,+5)	(-1,+5)	(-1,+5)	(-1,+1)
<i>Donated</i>	-0.0193	-0.0188	-0.0307**	-0.0179	-0.0934**	-0.0789***
	(0.107)	(0.293)	(0.0375)	(0.318)	(0.0146)	(0.0001)
<i>Donated × Won</i>	0.0142	0.0300**	0.0255*	0.0292**	0.0683***	0.0369**
	(0.178)	(0.0163)	(0.0683)	(0.0299)	(0.0060)	(0.0164)
<i>Intercept</i>	0.0142	-0.0015	0.0175*	-0.0032	0.0313	0.0298*
	(0.131)	(0.920)	(0.0705)	(0.849)	(0.315)	(0.0633)
Observations	258	258	258	258	258	258
R-squared	0.015	0.028	0.020	0.028	0.043	0.051
Functional Form	linear	linear spline	quadratic	partial quad. spline	full quad. spline	full quad. spline

Panel A of this table presents estimates of a regression discontinuity estimation with $(-1,+5)$ and $(-1,+1)$ cumulative abnormal returns (computed using the Fama-French three-factor model) as the dependent variables. The estimation is performed using the sample of elections won or lost by a margin of 5% or less, and for the sample of firms that only donated to one candidate in the election. *Won* is a dummy variable that takes the value of one if the candidate to whom the firm donated won a close election, and zero otherwise. The estimation is performed using various polynomial and polynomial spline functional forms, as suggested by Lee (2008). Panel B reports the results of a regression discontinuity estimation using the entire sample of firms that donated to candidates in the special elections. *Donated* is a dummy variable that takes a value of one if a firm donated to only one candidate in a particular special election and zero if a firm donated to both the winning and losing candidates. *Donated × Won* is the interaction of *Donated* and *Won*. *p*-values (clustered at the firm level) are reported in parentheses.

(b) Table 4: Special election CAR regression discontinuity results.

6.4 Table 5 and Table 6: Placebo test and general-election connection variables

Read:

- Table 5 repeats the special-election RDD analysis for nonclose special elections.
- The coefficient on *Won* is never statistically significant, which suggests that the close-election results are not driven by a generic special-election day effect.
- Table 6 reports summary statistics for the general-election sample and the constructed political connection portfolios.
- Direct connection portfolios include winning, losing, incumbent, challenger, Republican, and Democratic components.
- Indirect connection portfolios are much larger in count and dollar scale because they are based on leadership PAC networks.

Economic message: The placebo test supports the close-election interpretation, while the general-election summary shows that firms hold diversified portfolios of political connections rather than single isolated ties.

Table 5
Special election regression discontinuity placebo test

Regression discontinuity placebo test results				
	(1)	(2)	(3)	(4)
Event Window	(-1,+5)	(-1,+5)	(-1,+5)	(-1,+1)
<i>Won</i>	-0.0099 (0.151)	-0.0187 (0.133)	-0.0056 (0.796)	0.0000 (0.998)
<i>Intercept</i>	0.0086* (0.0910)	0.0138* (0.0699)	0.0074 (0.721)	0.0074 (0.600)
Observations	1,091	1,091	1,091	1,091
R-squared	0.002	0.004	0.009	0.013
Functional Form	linear	quadratic	quadratic spline	quadratic spline

This table presents estimates of a regression discontinuity estimation with $(-1,+5)$ and $(-1,+1)$ cumulative abnormal returns (computed using the Fama-French three-factor model) as the dependent variable. The estimation is performed using all special elections won or lost by a margin of more than 5% and using the sample of firms that donated to only one candidate. *Won* is a dummy variable that takes the value of one if the candidate to whom the firm donated won a close election, and zero otherwise. The estimation is performed using various polynomial and polynomial spline functional forms, as suggested by Lee (2008). *p*-values (clustered at the firm level) are reported in parentheses.

(a) Table 5: Special election placebo test.

Table 6
General election firm connection summary statistics

Panel A: Firm summary statistics						
Variable	Mean	Median	St. Dev.	Max	Min	Number
<i>Tobin's Q</i>	1.68	1.29	1.20	15.92	0.43	3,757
<i>Market Leverage</i>	0.33	0.29	0.24	1.00	0	4,272
<i>Book Leverage</i>	0.29	0.26	0.21	3.68	0	4,274
<i>LogSales</i>	8.43	8.47	1.57	13.04	-0.04	4,290
<i>LogTotal Assets</i>	8.98	8.97	1.81	15.07	2.64	4,290
<i>Operating Profitability</i>	0.12	0.11	0.09	0.86	-0.90	4,233
<i>Investment/Assets</i>	0.05	0.03	0.05	0.61	-0.37	2,390
Panel B: Political connection summary statistics						
Variable	Mean	Median	St. Dev.	Max	Min	Number
<i>Total P</i>	0.40	0	2.37	15	-10	4,135
<i>Won P</i>	2.91	2	3.21	27	0	4,135
<i>Lost P</i>	2.51	2	2.66	18	0	4,135
<i>Incumbent Won P</i>	1.93	1	2.51	23	0	4,135
<i>Incumbent Lost P</i>	1.81	1	2.08	16	0	4,135
<i>Challenger Won P</i>	0.98	0	1.42	10	0	4,135
<i>Challenger Lost P</i>	0.70	0	1.19	15	0	4,135
<i>Democrat Won P</i>	0.98	0	1.83	21	0	4,135
<i>Democrat Lost P</i>	0.66	0	1.39	17	0	4,135
<i>Republican Won P</i>	1.89	1	2.34	18	0	4,135
<i>Republican Lost P</i>	1.85	1	2.36	16	0	4,135
<i>Amount Total P</i>	926.70	0	9,635	89,000	-48,500	4,135
<i>Amount Won P</i>	8,472.59	3,250	14,626	206,000	0	4,135
<i>Amount Lost P</i>	7,545.90	3,000	12,216	123,500	0	4,135
<i>Indirect Total P</i>	1.40	1	18.99	118	-157	3,134
<i>Indirect Won P</i>	53.88	21	87.60	913	0	3,134
<i>Indirect Lost P</i>	52.48	21	82.77	795	0	3,134
<i>Indirect Amount Total P</i>	20,140.89	9,777	135,100	643,883	-1,121,987	3,134
<i>Indirect Amount Won P</i>	325,360.92	131,843	512,656	4,593,377	0	3,134
<i>Indirect Amount Lost P</i>	305,220.03	125,000	469,317	4,175,175	0	3,134

Panel A of this table presents summary statistics for the firms in the sample of close general elections. Panel B presents summary statistics for direct and indirect connections to candidates (in close general elections held from 1998–2010). Details and definitions of the variables can be found in the text and the Appendix.

(b) Table 6: General election firm connection summary statistics.

6.5 Table 7 and Table 8: General-election abnormal returns

Read:

- Table 7 uses the full close-general-election sample.
- The net direct connection portfolio, *TotalP*, is positively priced.
- Winning connections increase abnormal returns and losing connections decrease abnormal returns.
- The effects are especially visible for losing incumbents and for Democratic connections in the full sample.
- Indirect connections are also priced. A one-standard-deviation increase in indirect winning connections implies a much larger return effect than a comparable direct connection shock.
- Table 8 restricts the sample to the ten most politically active industries. Coefficients become larger and more consistently significant.

Economic message: Political connections are most valuable where political activity is most intensive. The stronger effects in active industries suggest that political capital is concentrated where regulation, government spending, or policy exposure is economically important.

Table 7
General election CARs regressions: Full sample

	(1)	(2)	(3)	(4)	(5)	(6)
<i>Total P</i>	0.0007*** (0.0131)					
<i>Won P</i>		0.0007** (0.0143)				
<i>Lost P</i>		-0.0008** (0.0252)				
<i>Incumbent Won P</i>			0.0006* (0.0852)			
<i>Incumbent Lost P</i>			-0.0013*** (0.0038)			
<i>Challenger Won P</i>			0.0011* (0.0584)			
<i>Challenger Lost P</i>			0.0004 (0.526)			
<i>Democrat Won P</i>				0.0016*** (0.0013)		
<i>Democrat Lost P</i>				-0.0015** (0.0143)		
<i>Republican Won P</i>				0.0002 (0.596)		
<i>Republican Lost P</i>				-0.0005 (0.272)		
<i>Indirect Won P</i>					0.0001*** (0.0023)	
<i>Indirect Lost P</i>					-0.0001*** (0.0016)	
<i>Amount Won P</i>						9.08×10^{08} (0.134)
<i>Amount Lost P</i>						$-1.34 \times 10^{07*}$ (0.0817)
Observations	3,761	3,761	3,761	3,761	2,810	3,761
R-squared	0.084	0.084	0.085	0.085	0.094	0.083

This table presents coefficient estimates from regressions of firms' cumulative abnormal returns on various measures of political connections in close general Congressional elections from 1998–2010. Connection variables are defined in the text and the Appendix, and CARs are computed using the Fama-French three-factor model over the $(-1, +1)$ event window. All regressions include industry and year fixed effects. *p*-values (clustered at the firm level) are reported in parentheses.

(a) Table 7: General election CAR regressions, full sample.

Table 8
General election CARs: Most actively donating industries

	(1)	(2)	(3)	(4)	(5)	(6)
<i>Total P</i>	0.0017*** (0.0002)					
<i>Won P</i>		0.0017*** (0.0002)				
<i>Lost P</i>		-0.0016*** (0.0028)				
<i>Incumbent Won P</i>			0.0011** (0.0340)			
<i>Incumbent Lost P</i>			-0.0017** (0.0164)			
<i>Challenger Won P</i>			0.0029*** (0.0003)			
<i>Challenger Lost P</i>			-0.0014 (0.127)			
<i>Democrat Won P</i>				0.0027*** (0.0006)		
<i>Democrat Lost P</i>				-0.0018* (0.0580)		
<i>Republican Won P</i>				0.0010* (0.0547)		
<i>Republican Lost P</i>				-0.0015** (0.0174)		
<i>Indirect Won P</i>					0.0002*** (0.0074)	
<i>Indirect Lost P</i>					-0.0002** (0.0115)	
<i>Amount Won P</i>						$3.14 \times 10^{07***}$ (0.0020)
<i>Amount Lost P</i>						$-3.32 \times 10^{07***}$ (0.0099)
Observations	1,505	1,505	1,505	1,505	1,139	1,505
R-squared	0.070	0.070	0.072	0.072	0.068	0.067

This table presents coefficient estimates from regressions of firms' cumulative abnormal returns on various measures of political connections in close general Congressional elections from 1998–2010, for firms in the ten most actively donating industries. Connection variables are defined in the text and the Appendix, and CARs are computed using the Fama-French three-factor model over the $(-1, +1)$ event window. All regressions include industry and year fixed effects. *p*-values (clustered at the firm level) are reported in parentheses.

(b) Table 8: General election CARs, most actively donating industries.

6.6 Table 9 and Table 10: Party resource channel and robustness

Read:

- Table 9 links leadership PAC contributions to party advertising expenditures in close general elections.
- The coefficient on leadership PAC contributions is about 9.9 in the univariate specification: for every \$1 transferred by a senior politician, the party spends roughly \$10 on candidate advertising.
- This supports the idea that senior politicians and parties coordinate resources in competitive races.
- Table 10 shows robustness in the most actively donating industries.
- Excluding same-state connections leaves the results broadly intact, so home-state favoritism does not drive the findings.
- Adding industry-year fixed effects also preserves the main pattern, suggesting the estimates are not simply industry-level political news.

Economic message: Indirect connections are valuable because senior politicians may control access to party resources and influence junior colleagues. The robustness tests support a firm-specific network interpretation.

Table 9
Political party advertising expenditures

	(1)	(2)	(3)
<i>LPAC Contributions</i>	9.903*** (0.000)	9.189*** (0.000)	6.956*** (0.000)
<i>Senate</i>			1,741,445*** (0.000)
<i>Incumbent</i>			-614,944*** (0.000)
<i>Won</i>			173,777 (0.237)
Observations	366	366	366
R-squared	0.2709	0.3255	0.4666

This table presents coefficient estimates from regressions of political party media expenditures (on behalf of candidates in close general elections) on senior politicians leadership PAC contributions (to the same candidates). Specifications (2) and (3) include year fixed effects. *p*-values computed using robust standard errors are reported in parentheses.

(a) Table 9: Political party advertising expenditures.

Table 10
General election CARs: Robustness tests

	Out of state connections only				Industry/year interactions included			
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
<i>Total P</i>	0.0014*** (0.0015)				0.0014*** (0.0016)			
<i>Won P</i>		0.0014*** (0.0012)				0.0014*** (0.0016)		
<i>Lost P</i>		-0.0011** (0.0443)				-0.0013*** (0.0033)		
<i>Incumbent Won P</i>			0.0005 (0.344)				0.0013** (0.0302)	
<i>Incumbent Lost P</i>			-0.0007 (0.318)				-0.0013** (0.0334)	
<i>Challenger Won P</i>			0.0006*** (0.0000)				0.0009** (0.0214)	
<i>Challenger Lost P</i>			-0.0012** (0.0457)				-0.0015 (0.111)	
<i>Democrat Won P</i>				0.0021*** (0.0002)				0.0023*** (0.0010)
<i>Democrat Lost P</i>				-0.0001 (0.369)				-0.0016* (0.0853)
<i>Republican Won P</i>				0.0001+ (0.0774)				0.0007 (0.144)
<i>Republican Lost P</i>				-0.0003 (0.194)				-0.0014** (0.0226)
Observations	1,376	1,376	1,376	1,376	1,505	1,505	1,505	1,505
R-squared	0.040	0.041	0.046	0.042	0.297	0.297	0.297	0.299

This table presents coefficient estimates from regressions of firms' cumulative abnormal returns on various measures of political connections in close general Congressional elections from 1998-2010. The sample of firms is restricted to the ten industries with the largest percentage of donations in all elections. Specifications (1) to (4) present estimates of models in which the political connection variables do not include politicians located in the same state as the donating firms, and also include year and industry fixed effects. Specifications (5) to (8) present estimates of models in which the connection variables include all politicians regardless of state, but with industry-year fixed effects. Connection variables are defined in the text and the Appendix, and CARs are computed using the Fama-French three-factor model over the $(-1, +1)$ event window. *p*-values (clustered at the firm level) are reported in parentheses.

(b) Table 10: General election CAR robustness tests.

6.7 Table 11 and Table 12: Committee values and future sales

Read:

- Table 11 estimates the value of connections to politicians sitting on specific congressional committees.
- Valuable Senate committees include Agriculture, Finance, Banking, and Armed Services.
- Valuable House committees include Small Business, Appropriations, Armed Services, Ways and Means, Transportation, and Financial Services.
- The results identify the policy areas where firms expect political access to matter most: spending, taxation, banking and finance, agriculture, defense, infrastructure, and small business.
- Table 12 examines one-year-forward changes in sales.
- The average additional net connection is associated with an increase in future sales of about \$300 million.
- Losing a connection to the Senate Appropriations committee is associated with a roughly \$1.9 billion decline in next-year sales.

Economic message: Political connections have real cash-flow implications, not only stock-market effects. The appropriations result points directly to government spending as one important channel.

Table 11
General election congressional committee CARs: Most actively donating industries

Panel A: Senate committee results							
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
<i>Senate</i>	0.0022*** (0.0015)						
<i>House</i>	0.0013** (0.0102)						
<i>Energy</i>		0.0016* (0.0503)					
<i>Commerce</i>			0.0014 (0.344)				
<i>Banking</i>				0.0048*** (0.0006)			
<i>Agriculture</i>					0.0063*** (0.0003)		
<i>Finance</i>						0.0052** (0.0425)	
<i>Armed Services</i>							0.0045** (0.0163)
Observations	1,505	1,505	1,505	1,505	1,505	1,505	1,505
R-squared	0.070	0.062	0.061	0.067	0.070	0.064	0.065
Panel B: House committee results							
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
<i>Transportation</i>	0.0025** (0.0115)						
<i>Financial Services</i>		0.0023* (0.0693)					
<i>Agriculture</i>			0.0013 (0.216)				
<i>Small Business</i>				0.0044*** (0.0001)			
<i>Armed Services</i>					0.0035*** (0.0084)		
<i>Ways and Means</i>						0.0032** (0.0141)	
<i>Appropriations</i>							0.0037** (0.0395)
Observations	1,505	1,505	1,505	1,505	1,505	1,505	1,505
R-squared	0.064	0.063	0.061	0.067	0.064	0.063	0.063

This table presents coefficient estimates from regressions of firms' cumulative abnormal returns on connections to candidates sitting on various Congressional committees in close general elections from 1998–2010. The sample of firms is restricted to the ten industries with the largest percentage of donations in all elections. Panel A presents results from Senate committees, and panel B presents results from House committees. The connection variables are defined in the main text. CARs are computed using the Fama-French three-factor model over the (−1,+1) event window. All regressions include industry and year fixed effects. *p*-values (clustered at the firm level) are reported in parentheses.

(a) Table 11: Congressional committee CARs.

Table 12
One-year forward change in sales regressions

	(1)	(2)	(3)	(4)	(5)	(6)	(7)
<i>Total P</i>	300.2*** −0.0098						
<i>Won P</i>		263.6** −0.0229					
<i>Lost P</i>		−372.0** −0.021					
<i>Incumbent Won P</i>			402.0*** −0.0025				
<i>Incumbent Lost P</i>			−775.2** −0.01				
<i>Challenger Won P</i>			9.106 −0.972				
<i>Challenger Lost P</i>			443.5 −0.303				
<i>Republican Won P</i>			365.7** −0.0271				
<i>Republican Lost P</i>			−406.3** −0.02				
<i>Democrat Won P</i>			74.2 −0.704				
<i>Democrat Lost P</i>			−255.1 −0.216				
<i>Appropriations Won P</i>				544.5 −0.228			
<i>Appropriations Lost P</i>				−1,915*** −0.0075			
<i>Senate Won P</i>						304.7 −0.178	
<i>Senate Lost P</i>						−470.9* −0.0997	
<i>House Won P</i>						238.7* −0.0653	
<i>House Lost P</i>						−315.6* −0.0634	
<i>Indirect Won P</i>							18.18 −0.156
<i>Indirect Lost P</i>							−17.96 −0.187
Observations	3,252	3,252	3,252	3,252	3,252	3,252	2,462
R-squared	0.042	0.043	0.051	0.043	0.043	0.043	0.05

This table presents coefficient estimates from regressions of one-year-forward changes in sales (in millions) on various measures of political connections to candidates in close general Congressional elections from 1998–2010. All specifications include firm and year fixed effects, lagged changes in Tobin's Q, leverage, size, and profitability (coefficients not reported to conserve space). All variables are defined in the main text and in the Appendix. *p*-values (clustered at the firm level) are reported in parentheses.

(b) Table 12: One-year forward change in sales regressions.

6.8 Table 13 and Table 14: Lobbying, former staffers, and political strategy bundles

Read:

- Table 13 shows that firms in the active industries frequently lobby and hire former government staffers.
- Roughly two-thirds of firm-cycle observations involve lobbying, and roughly one-third involve employment of former government staffers.
- Lobbying expenses are much larger than campaign contributions. The paper reports that firms spend about 19 times more on lobbying than on congressional incumbent contributions.
- Panel B shows that firms lobby the same policy areas whose committee members receive their contributions: for every \$1 contributed to committee members, firms spend roughly \$15 lobbying that policy area.
- Panel C suggests lobbying and hiring former staffers are substitutes: firms employing former staffers are less likely to lobby and spend less on lobbying.
- Table 14 interacts connection values with lobbying and former-staffer employment.
- Direct connection values are stronger for firms that employ former government staffers.
- Indirect connection values are stronger for firms that lobby.

Economic message: Contributions are a visible marker of broader political strategy. Firms use both direct channels, such as hiring government insiders, and indirect channels, such as lobbying through professionals and leadership PAC networks.

Table 13
Lobbying and employment of former government staffers

Panel A: Lobbying and employment of former staffer summary statistics

	Mean	St. Dev.	N
<i>Employ</i>	0.328	0.470	1,928
<i>Lobby</i>	0.666	0.472	1,928
<i>Number of Employees</i>	2.34	2.29	633
<i>Lobby Expense</i> (mil)	3.69	6.13	1,284

Panel B: Lobbying policy and congressional committee contributions

	(1)	(2)
<i>Congressional Contribution</i>	14.37*** (0.000)	16.69*** (0.000)
Observations	56,222	12,780
R-squared	0.118	0.1432

Panel C: Likelihood of lobbying and employing former staffers

	Dependent Variable		
	(1) <i>Lobby</i>	(2) <i>Log(1+ Lob. Amount)</i>	(3) <i>Lob. Amount / Assets</i>
<i>Employ</i>	-0.0836*** (0.000)	-1.202*** (0.000)	-0.0006*** (0.000)
Observations	1,928	1,928	1,928
R-squared	0.0069	0.007	0.0114

Panel A of this table presents summary statistics for the data on lobbying and employment of former government staffers. *Employ* is a binary variable that takes a value of one if a firm employed a former government staffer in a given time period, and zero otherwise. *Lobby* is a binary variable that takes a value of one if a firm spent money lobbying the federal government in a given time period, and zero otherwise. *Number of Employees* is the number of former government staffers that each firm employed per time period. *Lobby Expense* is the amount of money that each firm spent per period lobbying the federal government. The summary statistics for *Number of Employees* and *Lobby Expense* are for nonzero values only. Panel B presents coefficient estimates from a regression of money spent lobbying members of a Congressional committee on the amount of campaign contributions received by the committee members from firm PACs. Specification (1) uses the full sample of observations, and specification (2) uses the subsample of positive observations. All regressions include year fixed effects. Panel C presents coefficient estimates from regressions of *Employ* on various measures of firm lobbying. All regressions include year fixed effects. *p*-values computed using robust standard errors are reported in parentheses in all panels.

(a) Table 13: Lobbying and employment of former government staffers.

Table 14
Lobbying and employment of former government staffers

	(1)	(2)	(3)	(4)
<i>Total P</i>	0.0021** (0.044)	0.0007 (0.217)		
<i>Total P × Lobby</i>	-0.0005 (0.630)			
<i>Total P × Employ</i>		0.0017** (0.040)		
<i>Indirect Total P</i>			-0.00004 (0.692)	-0.00004 (0.750)
<i>Indirect Total P × Lobby</i>			0.00028** (0.026)	
<i>Indirect Total P × Employ</i>				0.00014 (0.299)
Obs.	1,711	1,711	1,317	1,317
R-squared	0.0465	0.0494	0.0408	0.0355

This table presents coefficient estimates from regressions of firms' cumulative abnormal returns on direct and indirect connections interacted with binary variables to indicate lobbying activity or employment of a former government staffer. The sample consists of firms that donated to candidates in close general Congressional elections from 1998-2010, from the ten industries with the largest percentage of donations to all elections. All regressions include industry and year fixed effects. *p*-values (clustered at the firm level) are reported in parentheses.

(b) Table 14: Lobbying and employment interactions.

7 Short summary

- The paper estimates the value of firm political connections using campaign contributions to close U.S. congressional elections.
- The strongest design compares firms donating to candidates who barely win special elections with firms donating to candidates who barely lose.
- Close special-election results imply a winner-versus-loser value wedge of roughly 1.7% to 6.8%, with a median estimate near 3%.
- Placebo tests using nonclose special elections do not produce a significant winner-loser wedge.
- General-election results confirm that both direct and indirect connections are priced.
- Indirect connections through leadership PACs are especially important, consistent with internal party resource allocation.
- The most valuable committee connections involve appropriations, taxation, banking and finance, agriculture, small business, and military policy.
- Connections affect future sales, especially when firms lose access to Senate Appropriations members.
- Firms' contributions are part of a broader political strategy that also includes lobbying and hiring former government staffers.

- The evidence supports the view that campaign contributions reflect valuable political-capital investments rather than only agency problems.

8 Conclusion

8.1 Core conclusion

Akey shows that firm political connections have positive shareholder value when measured through close-election shocks. Firms that supported candidates who barely won close special elections earned significantly higher abnormal returns than firms that supported candidates who barely lost. The effect is economically large, with a median estimate around 3% of equity value. General-election evidence, committee analysis, future-sales results, and lobbying/staffer tests all reinforce the view that corporate political activity is part of a valuable political network strategy.

8.2 Economic intuition

The intuition is that politicians can affect firm cash flows through government contracts, appropriations, regulation, tax policy, defense spending, banking policy, infrastructure spending, and other policy channels. A firm that supports a candidate gains access if the candidate wins and loses access if the candidate loses. In very close races, that win-loss difference is plausibly not fully controlled by the firm. The market therefore updates firm value when the election outcome reveals whether the political connection becomes active.

8.3 Incremental contribution revisited

The paper advances the literature in four main ways. First, it uses a close-election design to address the endogeneity of political connections. Second, it values connections that firms actively choose rather than only exogenous social or geographic ties. Third, it distinguishes direct candidate connections from indirect leadership-PAC networks. Fourth, it connects stock-market valuation to policy channels and real outcomes, especially committee assignments and future sales.

8.4 Implications for firms and investors

The results imply that investors view some political connections as value relevant. Political contributions are not merely symbolic or ideological; they can reveal economically meaningful access to policy makers. The strongest effects appear in politically active industries and around committees with direct control over valuable policy levers. For firms, the evidence suggests that campaign contributions, lobbying, and government-staffer hiring are strategic complements or substitutes within a broader political network-building process.

8.5 Limitations

The analysis estimates shareholder value, not social welfare. A connection that benefits one firm may reflect rent seeking, redistribution, or policy distortion. The design applies to politically active

firms that donate to close-election candidates, not necessarily to all firms. The observed contribution is only a partial measure of political investment because firms can provide access, information, lobbying, employment opportunities, or other support that is harder to observe. General-election evidence is noisier than special-election evidence because many races happen simultaneously.

8.6 Takeaway

The enduring takeaway is that political connections are priced. When a firm's supported politician barely wins, the firm gains value relative to firms whose supported politician barely loses. Campaign contributions are therefore useful signals of broader political networks, and those networks appear to matter most when they connect firms to powerful committees and policy areas with direct cash-flow consequences.